

Inventory Management Standards

1. Stock Replenishment Policy

Inventory levels are reviewed daily using automated monitoring systems. Replenishment orders are triggered when stock falls below the reorder point, typically set at 20% of average monthly usage. Emergency orders require management approval and incur expedited fees.

2. Safety Stock Guidelines

Safety stock levels are maintained at 15% above forecasted demand to buffer against supply variability. Adjustments are made quarterly based on historical demand and supplier reliability scores. Reduction of safety stock below 10% requires risk assessment approval.

3. Warehouse Storage Standards

Products must be stored in designated locations with clear labeling and barcoding. Temperature-sensitive goods require monitored climate control within ± 2 degrees Celsius. Storage aisles must be kept clear to ensure safety and efficient material handling.

4. Inventory Auditing Procedures

Physical inventory counts are conducted monthly using cycle counting methods. Discrepancies greater than 2% trigger recounts and root cause investigations. Audit results are reviewed by warehouse supervisors and reported to supply chain management.

5. Inventory Turnover Targets

Target turnover rates vary by product category, with fast movers targeting turnover of at least 8 times per year and slow movers at least 3 times. Products with turnover below targets are flagged for promotional or disposal actions.

6. Obsolete Inventory Management

Obsolete or expired products must be removed from inventory within 30 days of identification. Disposal procedures comply with environmental and safety regulations. Suppliers are notified if product returns or credits are applicable.

7. Inventory Accuracy Requirements

Inventory records must achieve at least 98% accuracy as measured by physical counts against system records. Errors over 2% require investigation and corrective measures. Accuracy improvements are monitored quarterly.

8. Transfer and Shipment Documentation

All inventory movement is documented with transfer orders and shipping manifests. Documents must include product ID, quantities, origin, and destination. Electronic records are updated immediately upon transfer completion.